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VENTURE CAPITAL DEAL SOURCING AND SCREENING

If my fund invests in 20 companies, and the first 19 go bust, have I failed? It depends on how the 20th company does.

—Silicon Valley Venture Capitalist¹

On October 1, 2012, Andrea Morton started her first day of work as an associate at Fastforward Ventures, a leading Silicon Valley venture capital firm. One of her first tasks, assigned by the firm's senior partners, was to screen potential investments and pass those that she felt had merit to the firm's partners for further review. She opened her e-mail to find messages with funding suggestions, and began evaluating them. As this was her first major assignment, she wanted to make sure she exceeded expectations.

A venture capital firm reviews thousands of investment possibilities every year, originating from many sources. Some are unsolicited. Some come from people who have relationships with the firm, or know the partners. Some are the result of relationships cultivated over the years by the venture capitalist. However, of the many possible investments, on average a venture capital partner will add just one or two new companies to his/her portfolio each year, and of these, only a few will provide a significant return. Thus, sorting through the opportunities, and making wise choices about which firms to invest in, is critical to a venture firm's success.

VENTURE CAPITAL

Venture capitalists (VCs) invest in privately held, high-growth, early-stage companies, typically holding their investments for as many as 7 to 10 years before realizing a return through an initial public offering (IPO) or sale of the company to another private equity fund or strategic buyer. VC firms are typically partnerships, run by general partners who raise money to invest from

¹ Quotations are from interviews with the author (Hoyt) unless otherwise specified.

David Hoyt, Theresia Gouw Ranzetta, and Professor Ilya Strebulaev prepared this case as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

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limited partners who are usually institutional investors. Firms generally raise new funds every three or four years. In 2010, the average VC fund was \$149 million, although some were considerably larger. The National Venture Capital Association (NVCA) reported 462 active VC firms in 2010. That year, they invested about \$22 billion in more than 2,700 companies—with 1,001 of these companies receiving VC investments for the first time (the balance being follow-on investments in companies with previous VC funding). In addition to providing funding, VCs took an active role on the board of directors of their portfolio companies, and assisted management in a number of ways, such as helping to craft strategy and recruit key employees.² During 2010, the industry received commitments for \$12.3 billion in new funds, and at the end of the year had \$176.7 billion under management.³ (See **Exhibits 1-3** for historical data on the venture capital industry and details for 2010.)

For entrepreneurs needing several million dollars in new investment, venture capital represented a good source of funding. Smaller amounts, such as might be needed to start a company or prove a concept, were generally raised from angel investors or personal connections—venture firms needed to invest their entire funds within a few years, so most waited to invest until companies needed larger amounts of funding.

The modern venture capital industry began in California's Silicon Valley in the late 1950s and early 1960s with the founding of venture-backed Fairchild Semiconductor and other computer, medical, and technology-based start-ups. Silicon Valley became the center of the venture investing world, as new VC firms started, many on Sand Hill Road in Menlo Park. The region developed a robust entrepreneurial culture, supported by a strong infrastructure of investors, successful entrepreneurs to provide inspiration and serve as mentors, and the research capabilities of Stanford University. In 2010, Silicon Valley was still the most prominent location for venture capital—with 967 venture investments, totaling \$8,549 million, made in Silicon Valley that year. This represented 29 percent of all VC deals, and 39 percent of total venture investing.⁴

Deal Sourcing

Establishing a flow of high-quality investment opportunities is critical to a venture firm's success. The risky nature of these investments is seen by the fact that firms fund only a minute fraction of the deals submitted for consideration, yet less than 20 percent typically generate a return of more than three times the invested capital (a "3x" return).⁵ Many lose money for investors, while others generate only a modest return. In describing the performance volatility and risk of a venture fund, one VC said, "If my fund invests in 20 companies, and the first 19 go bust, have I failed? It depends on how the 20th company does." It was not uncommon for a single, spectacular, investment to provide a good return for an entire fund. Another VC noted that in any given year, there might be 10 deals that could eventually provide extraordinary

² For a description of the various roles played by venture capitalists, see "A Day in the Life of a Venture Capitalist," GSB No. E-444.

³ National Venture Capital Association Yearbook 2011, pp. 9-10.

⁴ *Ibid.*, p. 27.

⁵ "Frequently Asked Questions about Venture Capital," National Venture Capital Association, http://www.nvca.org/index.php?option=com_content&view=article&id=119&Itemid=621 (accessed April 9, 2012).

returns. The difficulty was in determining which 10, and investing in a disproportionate percentage of those.

If a VC could replace just one poor performer in the fund's portfolio with a major success, the overall fund's performance would be dramatically improved—conversely, if a VC passed on a company that eventually was highly successful, the fund's overall performance would be dramatically worse.

Given the high risk of each new investment, the screening and due diligence process is critical. The process often starts with a short e-mail regarding a company seeking funding. In some cases, a condensed version of the company's business plan presentation might be attached. The e-mail could come from any number of sources, including:

- An executive at an existing company in the VC's portfolio who knows the founders of the new company and their business plan;
- A former entrepreneur that was funded by the VC firm, who is either starting a new venture, or referring someone else's company;
- A professional, such as a lawyer or accountant, who has worked with other companies in the VC firm's portfolio;
- A personal or professional friend of a VC partner, referring an entrepreneur;
- An entrepreneur with no previous relationship to the VC firm.

Prospective new investments can also develop from proactive work by the VC firm. VCs cultivate relationships with people they may fund in the future. A VC partner will network with executives in fields of interest, attend conferences and trade shows, and meet with professors and other leaders in the field. If the firm has associates (junior members of the firm who support partners by researching fields of interest and helping evaluate potential investments) they may also attend student events on campus, network with outstanding recent graduates, and develop relationships with potential future entrepreneurs. These relationships may surface investment ideas.

Deal Screening: Company Fit

The initial step in the screening process is to determine whether there is a fit between the company and the VC's investment criteria, and if the company has the potential to provide a substantial return. If the company passes this screen, the VC will ask for an initial meeting. This will lead, if successful, to a series of intensive meetings with the company, as well as careful investigation and analysis ("due diligence") of key assumptions in the plan, the management, and areas of risk. While the VC investigates the company, the company must evaluate the VC, to ensure a good fit. As one VC firm described, "A new start-up is like a marriage—both parties must get to know one another well before any long-term plans can be made."⁶

There will be no meeting with the company, nor any detailed analysis, however, if the company does not pass the initial screening. Due to the large number of potential investments, and the

⁶ Accel Partners website, "Evaluating a Venture Capital Firm to Meet Your Company Needs," <http://www.accel.com/week/resource1.php> (accessed March 30, 2012).

small number that will eventually be funded, the initial screening is not done in depth, but rather is intended to identify those companies which warrant more detailed examination. The company must be a fit with the VC firm's investment interests.

Stage of Development

Companies need funding at various stages of their development. At each stage, the level of risk decreases and the size of investment needed often increases—companies typically raise money when critical milestones are reached and risks are reduced, using the next round of funding to achieve the next set of development objectives. At early stages, the founders typically must give up large amounts of ownership, as pre-money valuations are small for high-risk young companies. If the company continues to achieve its goals, for each new round of financing the valuation will be higher and the amount of ownership given up will generally be lower. Some venture firms make their initial investments in a company in its start-up stage. This involves a relatively small initial investment, with the anticipation of additional follow-on investments as the company grows. Other firms prefer to wait until companies have developed further before making their initial investments. Successful companies often raise three to five rounds of funding (although some may require fewer rounds, and some may raise even more rounds).

Investment Size

Venture firms have a preferred investment size, based on the fund size and anticipated investments. They need to invest enough to justify the effort and provide the potential for a meaningful return. They also need to plan for follow-on investments as the company grows. They will also have a target for the total number of portfolio companies—each partner in a typical early stage VC firm will generally want to make investments in one or two new companies per year, defining the approximate amount that will be invested in each portfolio company over the investment period of the fund. For instance, if a fund has five general partners, it might invest in 20 to 30 different companies over an investing period of four years—at this point, it would have raised a new fund, and initial investments in portfolio companies would be made from the new fund. If the original fund was \$200 million, the firm would invest an average of \$6-10 million for each company from this fund. Thus, a company looking for an initial investment of \$3 million might be a fit for the fund, with the expectation that additional follow-on investments would be made over the next few years. (It should be noted that most venture financing rounds involve several venture investors.) However, a company looking for \$100,000 and with limited need of future funding would likely be a poor fit, as it would not put enough of the fund's capital to work. Similarly, a company that needed an investment of \$50 million would also be a poor fit, as it would tie up too much of the fund's capital.

Industry

Most VC firms focus on specific industry sectors, with particular partners often being responsible for those sectors in which they have interest and expertise. For instance, a firm might have a partner that focuses on social media, another that focuses on telecommunications, and a third that concentrates on health care.

As an example, Alloy Ventures, a Silicon Valley venture firm, defines its areas of interest as lying in three investment sectors: life sciences, information technology, and cleantech.⁷ Within

⁷ This information is based on the Alloy Ventures website, www.alloyventures.com (accessed May 7, 2012).

each of these sectors, it further defines its interest. For instance, within life sciences, it is interested in medical devices, laboratory instrumentation, and diagnostics. Alloy Ventures has six general partners, all with extensive industry experience in the information technology and life sciences industries prior to becoming venture capitalists. Two general partners concentrate on life sciences. Based on this description of interests, a company that makes laboratory instruments for use in the pharmaceutical industry might be of interest to Alloy, but a pharmaceutical company likely would not be a fit—despite both being in the broader “life sciences” field.

Geography

Venture capitalists may prefer to invest in local companies, or companies in a specific geography. One of the essential roles of a VC is to work with management and provide support to portfolio companies. This is easier, and more effective, if the company is located near the VC firm. This can be seen in the geographic distribution on venture firms and entrepreneurial activity. California’s Silicon Valley is home to an enormous number of start-up companies, and to the world’s largest concentration of venture capital firms. Entrepreneurs in Silicon Valley have access to extensive resources of technical capability, suppliers, personnel ... and venture capital. At the same time, venture capitalists can develop an in-depth knowledge of industries, technologies, and personnel that offer attractive investments. When investing in a Silicon Valley company, a locally-based venture capitalist can easily meet with the company, and is in a position to develop relationships with people and service providers that can benefit a portfolio company. A venture firm that is focused on investments in Silicon Valley will be a poor fit for an investment in a Florida-based start-up.

However, VCs may choose to invest in companies that are located in other regions. For instance, a venture firm based in Silicon Valley may choose to make investments in China. To accomplish this, it will need to develop effective ways of evaluating and working with Chinese companies. It may partner with a Chinese-based venture firm, set up an office in China, or have its California-based personnel make frequent trips to China. Regardless of how it addresses the Chinese market, it will be receptive to investment opportunities in China.

Deal Screening: Evaluating the Opportunity

If an opportunity fits with the VC’s basic investment criteria, the next step is to determine if it has the potential to become a significant business. While the initial screen is by necessity a cursory evaluation, based on a short summary of the business, it is important to understand the basis on which a final investment decision will be made.

The key document describing the company, and which will be the basis for further investigation, is the business plan. This is typically prepared in the form of a presentation consisting of 20 or more slides. While detail is important, in practice, companies who articulate a compelling business case in a simple and concise manner have a higher probability for successfully raising funds than those whose plans are long and detailed. The details of the plan will be explored in depth during discussions between the VC and company, and in the VC’s due diligence investigations.

The first critical issue is the size of the opportunity. This is a function of the market size and growth, and the contribution that the company can make to its target customers—a company tackling an enormous market, but which provides only a minor service to customers will likely be a poor investment candidate. On the other hand, a company that provides a critical service to a relatively small, fast-growing, market may be very interesting to the VC—if the company can dominate its market, it may be able to rapidly grow as the market develops, or as an initial niche market expands into larger, general markets. One formula used by some venture capitalists to evaluate a company's potential size is:

$$\text{Market Size} \times \text{Market Growth} \times \text{Company Contribution} = \text{Company Size}.^8$$

Another area of intense due diligence will be an independent evaluation of key assumptions incorporated into the plan. Every business plan depends on a number of assumptions, and the VC must identify and evaluate these assumptions before making an investment. This is done by interviewing independent experts, studying industry analyses, and using the VC firm's own experience—the firm has most likely made previous investments in similar fields, so has its own base of information.

The firm will also identify risks inherent in the business plan, and conduct detailed discussions with management about these risks. Before making an investment, the VC must feel confident that management understands the critical risks, that they are acceptable, and that the company can mitigate the risks as much as possible.

The VC will evaluate existing and potential competitors. The VC will want to know that management is realistically assessing the competitive landscape. A common mistake made by entrepreneurs is to underestimate competition—the entrepreneur can easily be blinded by the brilliance of his/her plan, and fail to objectively evaluate the differential advantage provided by his/her product over that of the competition.

Finally, and of critical importance, is company management. Venture capitalists often comment that they invest in people. A well-proven team may be able to attract venture investment even if the business plan has a relatively high degree of uncertainty—the investors may trust that the team will be able to adapt to market and technology changes to develop a highly valuable company. However, if the management team is not well known to the investors, the VCs will conduct extensive due diligence, including detailed interviews with each key member of the team as well as people who have worked with these individuals in the past. The potential investor must be comfortable that the management team can execute its plan and adapt to the inevitable unexpected challenges that it will face in the future.

FASTFORWARD VENTURES

Fastforward Ventures⁹ was founded in 1992 by a group of four founding general partners—the chief technology officer at a prominent Silicon Valley technology company and three young

⁸ Ibid.

⁹ Fastforward and its personnel are fictional, but are based on composites of real venture capital funds and personnel.

partners from established venture capital firms. They raised a \$100 million initial fund (“Fastforward I”), and focused their investments on computer hardware, software, and telecommunications. They raised a second fund of \$150 million four years later, adding two new general partners for Fastforward II, and hiring three associates to help find and evaluate new opportunities. They were early investors in Internet companies, concentrating on early stage investments, in some cases providing seed funding to entrepreneurs who they felt had particularly innovative ideas. They generated substantial returns as these companies went public in the late 1990s—Fastforward I eventually returned more than \$500 million to its investors. Despite this success, the partners grew concerned about the seemingly irrational growth of internet companies, and questioned the long-term viability of these investments. This caused them to diversify their investments, specifically moving in the direction of health care.

By 2000, Fastforward II was almost fully invested, and the partners were raising their third fund—targeted at \$500 million, to be managed by eight general partners with the support of six associates. However, the internet bubble burst, and they put plans for the new fund on hold while focusing on limiting the damage to Fastforward II. In the end, the second fund generated a small return, but over a much longer time frame than had originally been planned. When it finally raised Fastforward III in 2003, the firm had consolidated to five general partners and two associates. They continued their focus on health care and information technology, but with an emphasis on companies that had credible ways of monetizing their businesses.

Fastforward raised a \$200 million fund (Fastforward IV) in 2007, just a year before the global financial crisis and resulting deep recession. The recession hit the Fastforward III fund hard—most of the fund had been invested at the time. When the recession began, 6 of the 25 companies in the portfolio had already failed. Four were struggling to grow, and failed early in the recession. Several that had been rapidly growing now struggled to remain solvent. Five had been planning liquidity events (three IPOs and two acquisitions by public companies), all of which were now in serious jeopardy. By 2010, one of the Fastforward III portfolio companies had been sold for a substantial gain, two others had been sold for small gains, eight more had failed or been sold at losses. The fund still had investments in four companies, but there was little likelihood of significant gains on any of these—Fastforward III would most likely end up with an overall negative return on investment.

Despite the troubles with Fastforward III, the partners believed that Fastforward IV, which was early in its investment cycle when the recession began, presented an opportunity to fund good companies at attractive prices. They invested the bulk of this fund during the recession and early recovery, and raised \$300 million for Fastforward V in 2011.

Fastforward Ventures in 2012

By 2012, Fastforward had expanded to six general partners and four associates. (See **Exhibit 4** for profiles of Fastforward general partners.) The firm focused on early stage companies, typically those that had demonstrated proof-of-concept for their products, and had some initial indication of market acceptance. Often, they were the first venture investors in a company, leading the Series A Preferred round, although it was not uncommon for them to make their first

investment in the Series B or later round.¹⁰ Once they had invested in a company, they continued their support in subsequent funding rounds. By 2012, Fastforward's investments were primarily directed toward mobile computing, social media applications, cloud computing, clean technology, and health care.

Andrea Morton joined Fastforward as an associate in October 2012, after receiving her MBA from a leading business school. Prior to business school, she had worked as a software engineer, then a product manager, at a major software company. She had received her computer science degree at Stanford, and continued to be involved at school events where she could interact with both students and alumni. She was particularly interested in cloud computing.

After settling in to her new office, Morton met with two of the firm's general partners, Ellen Chang and Daniel Stephenson. Chang's particular interest was in social media applications, while Stephenson was focused on cloud computing. Stephenson had been instrumental in recruiting Morton to the firm. The two partners asked Morton to screen the incoming deal flow, looking for opportunities that warranted their attention, and that of the firm's other partners. They reviewed the firm's basic investment strategy, and the interests of the various general partners, then Morton went back to her office and opened her e-mail.

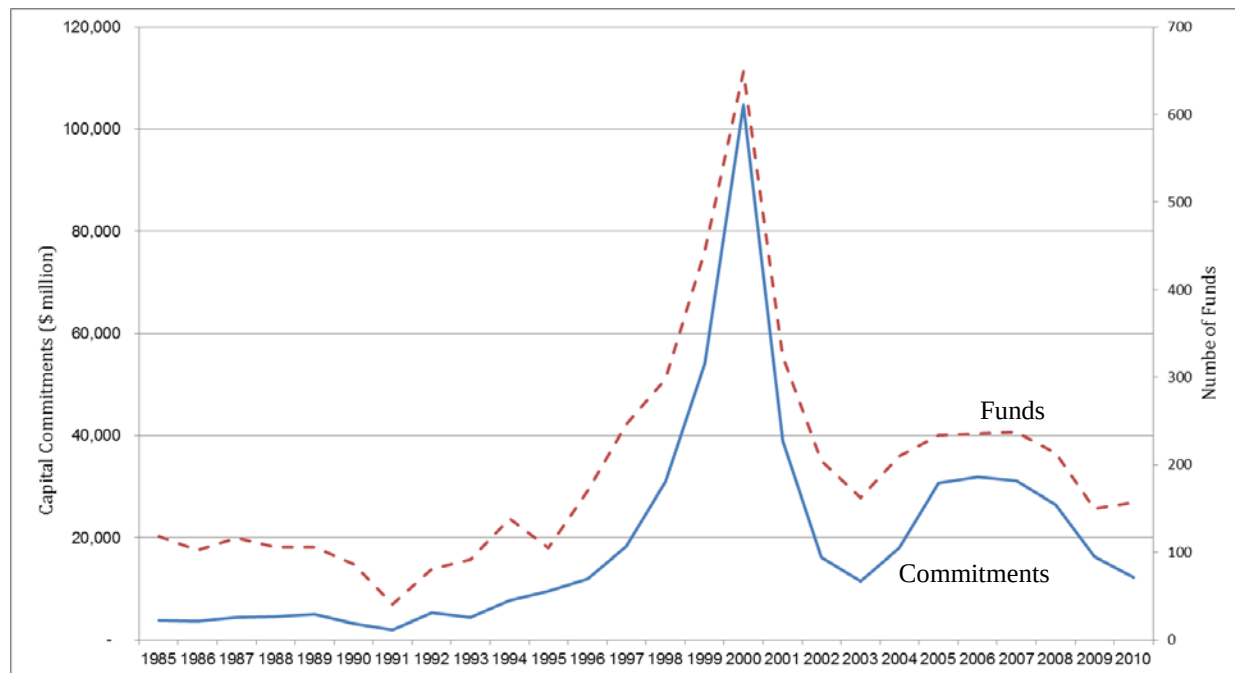
The e-mails in Morton's inbox had been originally sent to another associate, Debbie Edwards, who had just returned from vacation. Morton would get a baptism of fire, helping evaluate the backlog of potential deals. She retired to her computer to screen the first set of new investment opportunities (**Exhibit 5**).

¹⁰ The Series A Preferred round is the first round in which venture capitalists become involved in a company previously financed by founders, their friends and families, or angel investors. The Series B Preferred round is the first follow-on round of financing by venture investors. The Series B round is typically led by a new investor, who establishes the price. Existing venture investors generally have the right to a pro rata share of the Series B (and subsequent rounds) as part of their investor agreement. For a glossary of venture capital terms, see National Venture Capital Association Yearbook 2011, Appendix A, online at http://www.nvca.org/index.php?option=com_docman&task=doc_download&gid=876 (accessed March 2, 2012).

Exhibit 1

United States Venture Capital Commitments and Funds

Capital commitments to venture capital funds, in \$ millions, from 1985-2010. This represents the amount that investors committed to new funds in each year.

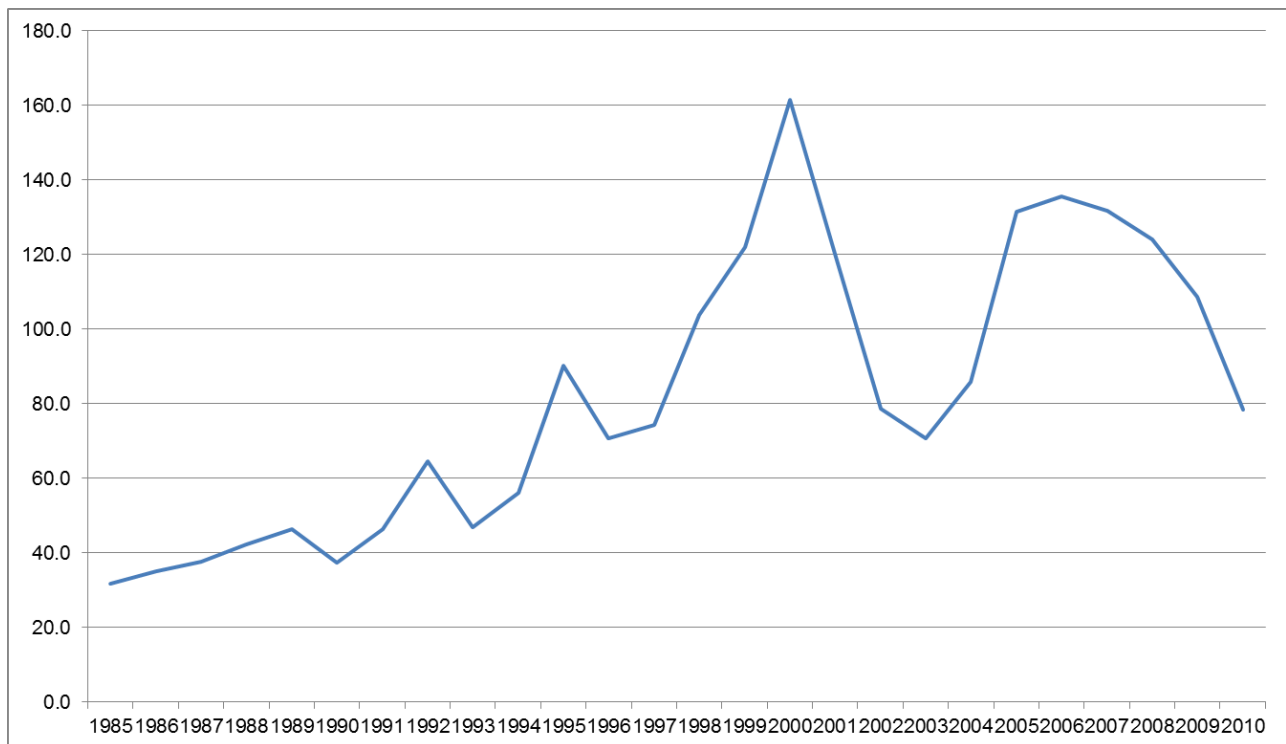


2010 Venture Capital Committed by State

State	Number of Funds	Funds (% of US total)	Committed Capital (\$Mil)	Committed Capital (% of US Total)	Average Fund Size (\$Mil)
California	54	34.4	5,480.0	44.5	101.4
Massachusetts	22	14.0	2,624.1	21.3	119.3
New York	13	8.2	1,357.7	11.0	104.5
Connecticut	4	2.5	938.2	7.6	234.6
North Carolina	4	2.5	413.6	3.3	103.4
Sub-Total	97	61.8	10,813.6	87.9	111.5
Other States	60	38.2	1,494.3	12.1	24.9
Total U.S.	157	100	12,307.9	100	78.4

Exhibit 1 (continued)
United States Venture Capital Commitments and Funds

Average size of new funds, 1985-2010, in \$ millions.



Source: National Venture Capital Association 2011 Yearbook, pp. 20, 22.

Exhibit 2

United States Venture Capital Investments by Location and Stage, 2010

The trend of investments made by venture capital firms from 1985 to 2010 is similar to that of capital commitments seen in **Exhibit 1**. In 2010, a total of \$16.3 billion was invested by venture capital funds, as shown in the following tables.

Investments by State in 2010

State	Number of Companies	Number of Deals	Amount Invested (\$ Bil)	Average Deal Size (\$ Mil)
California	1,070	1,298	11.1	8.6
Massachusetts	289	353	2.4	6.8
New York	221	264	1.3	4.9
Texas	121	144	0.9	6.25
Washington	98	117	0.6	5.1
Total of Top 5 States	1,799	2,176	16.3	7.5

Investments by Stage

Stage	Percent of VC Investments
Seed	8
Early Stage	26
Expansion	39
Later Stage	20

Source: National Venture Capital Association 2011 Yearbook, p. 25.

Exhibit 3
United States Venture Capital Investments by Industry and Sector, 2010

Investments by Industry in 2010

Industry Group	All Investments			Initial Investments		
	Companies	Deals	Amount (\$ Billion)	Companies	Deals	Amount (\$ Billions)
Information Technology	1,596	1,914	10.8	578	578	2.1
Medical/Health/Life Science	679	827	6.3	224	224	1.1
Non-High Technology	474	553	4.9	199	199	1.1
Total	2,749	3,294	22.0	1,001	1,001	4.3

Investments by Industry Sector in 2010

Sector	Percent of VC Investments
Software	18
Biotechnology	17
Industrial/Energy	16
Medical Devices and Equipment	10
IT Services	8
Media and Entertainment	6
Telecommunication	4
Semiconductor	4
Networking and Equipment	3
Business Products and Services	2
Computers and Peripherals	2
Consumer Products and Services	2
Electronics/Instrumentation	2
Financial Services	2
Healthcare Services	1
Retailing/Distribution	1
Other	0.1

Source: National Venture Capital Association 2011 Yearbook, pp. 24, 25.

Exhibit 4

Fastforward Ventures' General Partners

James Pearsol. Pearsol is 39, married with three children. He went to Dartmouth as an undergraduate, receiving his BA in economics, then joined Morgan Stanley as an analyst. After two years, he went to Stanford, where he earned his MBA. After Stanford, he rejoined Morgan Stanley as a private equity associate, then went to BlueCheck Partners, a private equity firm, as a vice president. Four years ago, he left BlueCheck to become a principal at Fastforward and was promoted to partner two years later. Pearsol's current investment focus is in software, digital media, e-commerce, and financial information technology. While at Fastforward, he made six investments, two of which had successful exits via acquisition. He currently sits on three boards. When not working, Pearsol is a competitive runner. He also has a passion for crossword puzzles, which he sometimes works on at the office during breaks, as a way of relieving stress. An outstanding golfer, he played on the Dartmouth varsity golf team.

Aaron Greenberger. Greenberger is 40, married with two children. He went to Carnegie Mellon University, receiving his BS in computer science. He was a serial entrepreneur, with several successful start-ups. He sold his most recent start-up to Google, where he stayed for four years. He was recruited to Fastforward as a partner five years ago. He focuses on computer-related investments, and is currently particularly interested in big data, infrastructure, networking, and cloud computing. He has made 12 investments, one of which became a successful IPO, and four of which resulted in acquisitions. He currently sits on eight boards. Outside the office, he is an avid photographer, and coaches his son's quiz bowl team.

Matthew Kwan. Kwan is 47, married with two children in high school. He received his BS in electrical engineering at UCLA, where he was a world-class swimmer—winning a silver medal at the Olympics. He then worked for a small computer company, before going to Harvard for his MBA. He then worked in several large technology companies, first in marketing, then in business development before leaving to join BigCheck Ventures, a venture capital firm. He worked at BigCheck for seven years, the last five as a partner. Eight years ago, he left BigCheck to become a partner at Fastforward. In his 15 years as a venture capitalist, he has made 25 investments, 4 of which exited via IPO, and 7 through acquisition. He currently sits on 10 boards, and focuses his investment activity on mobile, digital media, and consumer internet companies. He is still an active swimmer, and participates in Masters swim competitions. He follows sports closely, and collects vintage sports memorabilia.

Madeline Wayne. Wayne is 35, married with one child. She attended Stanford, where she earned a double major in computer science and economics. After college, she joined a start-up in consumer e-commerce technology, as employee number six. The company became a huge success, and she played key roles in its growth, in engineering, marketing, and finally heading up an extremely successful acquisitions program. Two years ago, she was recruited to be a partner at Fastforward. At Fastforward, she has made three investments, none of which have exited. She focuses on social media and advertising companies, and sits on three boards. In her free time, she exercises her creative side through graphic design.

Sanjay Gupta. Gupta is 55, married with two children. He received his BA at Yale in philosophy, then joined the investment banking operation of a large, nationally-known bank. He left to attend Stanford, and after receiving his MBA he started a company that grew to 500 people. He sold this company to Hewlett Packard, then spent several years making angel investments before joining Goldview Ventures as a partner. Since being recruited as a partner at Fastforward 15 years ago, he has focused on infrastructure, hardware, and cleantech, making 18 investments. Three of his investments have exited via IPOs, with 6 more resulting in acquisitions. He currently sits on 10 boards. He is an avid and well-respected connoisseur of food and wine, writing an occasional column in *Wine Spectator*.

Edward Williams, MD. Williams is 47 and divorced, with two children in college. He attended U.C. Berkeley, where he received a BS in mechanical engineering. He then went to Harvard Medical School, where he earned his MD. He completed his residency in pediatric surgery at Massachusetts General Hospital, then accepted a position at the Packard Children's Hospital at Stanford. Throughout his medical training and practice, he had a keen interest in developing new tools to address problems he encountered. He formed a company to commercialize these tools, and eventually resigned his hospital position to focus full-time on this business, which he eventually sold to a major medical devices firm. He joined the business development group of the devices firm, acquiring new technologies and helping build several new product lines. He was recruited by Fastforward five years ago as a partner, focusing on health care. When not working, he is an enthusiastic hiker and mountain climber.

Exhibit 5

Deal Prospects to Be Screened¹¹

The following emails were in Andrea Morton's inbox, forwarded from Debbie Edwards.

E-mail 1: from Angel Investor

Subject: If you move fast, I've got a great deal for you!

Awhile ago, I seeded a really cool startup. They're raising an A round, and I wanted to lead it myself. But a top VC came in and made a pretty good bid. I got them to pass, but the other guys sweetened the deal, and now the company wants to take it. They really ought to meet a few others first – and you'd be a great match. If I can get them to meet with you, it will have to be fast – if you like them, you'll need to get them in front of your partners at next Monday's meeting.

Let me know if you've got any questions,
Sam

E-mail 2: from Lawyer

Subject: CirrusApps

I've been working with a company that I think FastForward would be interested in.

CirrusApps is a startup based in San Mateo. There are two things that I think make them interesting for you: the founding team has a great track record, and their products have been adopted quickly by a number of customers—they are building momentum. The founders are Joe Stevens and Evan Simonsen. I've worked with them before, and think they're the real deal. You might know of them – they founded Joven Software and Evsen Systems, which both made huge returns for their investors. Anyway, their latest venture is developing tools so that app developers can keep data current and synced on all the various devices that end users might use, from servers to mobile phones.

They have a staff of 15, with seed funding from Joe and Evan. They want to raise a Series A round of \$8-10 million. If you're interested, I'll introduce you.

Best,
Tom Tylerson

¹¹ Some of the business concepts in this Exhibit were invented by the authors, while others were inspired by actual companies. However, all material has been substantially created by the Stanford Graduate School of Business. The proposals do not represent any actual companies or individuals.

E-mail 3: from Lawyer

Subject: Goldbeach – a deal you should look at

There's a company I've been working with that's only been in business a few months, but is really taking off. I think you'll find it interesting.

The company is called Goldbeach. It's a members-only online site that promotes events that sell high design home décor. Their offerings are selected by experts that have very long relationships with the very top brands. In just 4 months, they have achieved remarkable traction – sales are growing 30% month-over-month, and more than 25% of sales are to repeat customers.

The founder comes from a family that's been in the furniture business for several generations, and has deep relationships with top suppliers from all over the world. These relationships are the key to success, and should let them realize higher margins than their competitors, and position them well for future growth.

They've bootstrapped to this point, and are now raising money to increase their marketing and upgrade their infrastructure to support their rapid growth.

Please let me know if you'd like an introduction.

Thanks,
Alfred Smith

E-mail 4: from Banker

Subject: Intro to ScheduleYou

Hey Deb – would love to catch up. Give me call when you've got some time.

I've got some clients with operations in Dallas, and was talking with one of them about interesting things going on down there. Anyway, one of them told me that his company has started to use this new website, ScheduleYou, to plan department offsites. Then another client said that one of his employees told him about arranging a big party, using this ScheduleYou site. I figured that if two people separately told me about this, they must be on to something. Apparently they haven't done any advertising, but are really building momentum in the Dallas community based on word of mouth.

One of these clients has a friend at the company, and said that they want to raise money to expand. I asked him to send me some info, and here's what he forwarded from his friend:

ScheduleYou helps make people plan parties and other events. Busy parents are flocking to the site, since it simplifies the planning and organization of events they're trying to put on for their kids and friends.

Here's how it works. Suppose you want to get together with a bunch of friends, but you aren't sure what you want to do. You use the site to send notices to your friends with several different possible activities. Your friends give their responses, telling the system what they're interested in, and their availability. It sends you back a report, and you decide what you want to do. When you've decided, the system notifies your friends. It can also give them more info, like maps, things to bring (for instance, assignments for what food to bring), and other information.

It can also help you come up with ideas, by integrating with sites that give reviews of various businesses, movie schedules, or available discounts. These can be integrated into the initial planning message that goes to your friends, to help them decide what they want to do. The system also learns from their responses, so if you want to have future events with the same group, it can suggest activities and businesses based on the group's interests. ScheduleYou generates revenue from a percentage of the event price, as well as from fees paid by companies to be featured selections.

We started last year. When we launched the site, we got about 4,000 users during the first month – without spending anything on advertising or marketing. We're looking for money to fund our growth. If you have any contacts that you think would be good investors, please let me know.

Best,
Harry Jameson

E-mail 5: from Banker

Subject: Introduction to Allan Levin, CEO and Founder of FindYourWay

Hey Deb,

I'd like to introduce you to Allan Levin, CEO and Founder of FindYourWay. I met Allan and his team at 500 Startups Spring Demo Day where they were one of the most popular presentations of the day. Their product is really cool. It helps people make better travel plans. I've used it to plan some of my trips, and it was a big help. You input where you want to go, and they take information about all the various public transportation options to develop a plan that gets you there with the least pain. It's good in your home town, but outstanding when you're travelling and trying to get around in a new city.

Allan can tell you more about it, as well as his plans for growing the company. Having seen the value of what they do first hand, I think they're really on to something, and you should take a look.

Allan – Debbie is an associate at Fastforward, a venture firm that focuses on early stage investments.

Take care,
Samantha Bennett

E-mail 6: from friend

Debbie,
I ran into an old college friend the other day. Hadn't seen him in years. He made a bunch of money in the tech business, and has recently started a company that's looking for investors. It sounded like something you might be interested in, so I thought I'd let you know. I asked him to send me a short description, which is attached.

Hi Don,
It was nice to see you the other day. Here's a brief introduction to the business I've been working on. I've been interested in homebrewed beer for years, and when I left Cisco, I spent much of my time working on this. There is a fairly big community of homebrewers, but there isn't a good way for them to connect, share ideas, recommend suppliers, etc. They use Facebook, and other social networking sites, but those don't really meet the total need.

I put together a small team that's developed a website that's a one-stop shop for products, information, sharing experiences and recommendations – think Facebook meets Amazon.com. The site has attracted a decent following, and we are raising \$1 million to improve the infrastructure, hire additional staff, and add working capital. I realize that this is a niche market, but it's still a good business. The really opportunity comes after we fully develop the site for homebrewers, when we will roll out variations for other niche hobby markets, such as home winemaking, barbeque, scrapbooking.

Best,
Dave

If you'd like an introduction, please let me know,

Don Smith

E-mail 7: from fellow Fastforward Associate

Subject: Vocal Tier Intro

Guys,

I just learned about a company that you might be interested in. I was talking with a friend who has a buddy that started a company in Boston. It sounded like it was worth a look.

The company is called Vocal Tier. They convert short blocks of text into audio that sounds like real speech. They're mostly doing news now, but it could be used for lots of things, such as recommendations, or anything that someone publishes on the web that they'd like to have people access by listening rather than reading. They've developed the basic engine, and are raising money to build the user interface. They want to raise \$750K in the seed round, and already have a commitment for \$250K.

Revenues will come from audio advertisements, as well as for selling premium content. They can charge users a fee to subscribe to a channel of premium audio feeds, or even charge publishers to generate audio versions of their works (which would be a lot cheaper than hiring actors).

My friend says the CEO is a really sharp guy. Apparently there is a lot of interest, and the round may close soon, so if you're interested it would be good to act quickly. If you plan to be in Boston soon, I can put you in touch with the company. Otherwise, we can set up a skype call.

Let me know if you'd like to learn more.

Let me know,
Van Wilder

E-mail 8: from Portfolio Company Entrepreneur

Subject: Interesting company – HiringManager.com

Hey D -

I just learned about a company that you might be interested in. I was talking with a friend who has a friend from college that started a company in Boston. It sounded like it was worth a look. It's called HiringManager.com. My friend said that the founder, Sara Jordan, is amazing, and someone you should meet whether or not you want to invest in this company.

Here's their company description:

HiringManager.com is revolutionizing the way companies find and recruit new employees. Using our software, companies prepare a video questionnaire that addresses the most important issues they want to cover during the screening process. Applicants

answer these questions using the HiringManager.com web platform. The process is simple for applicants to use, and eliminates the need to time-consuming telephone screening – the company can quickly view videos from applicants they are interested in, and move quickly to the next stage in the hiring process. Organizations that use this system report substantial efficiency increases in their hiring process.

HiringManager.com has been used by more than 200 companies and institutions, and facilitated thousands of interviews.

If you're going to be in Boston anytime soon, I think you should meet Sara. If that won't work, maybe you can chat with her on Skype.

See ya,
Joe

E-mail 9: from Portfolio Company Entrepreneur

Subject: Someone you should meet

Hi Deb,

How have you been? You probably heard, but in case you didn't, we just closed our seed round for Laughable. We're all pretty pumped!

I've got a friend, Aaron Evans, that I think you should meet. He's one of the smartest software guys I know, and he's working on something that you might be interested in. Even if you don't want to fund his current project, he's someone worth getting to know. He's developing a site that's targeted toward pet owners. As you know, they can be pretty obsessive, and he thinks this is a big market opportunity. What he's working on is a site that lets people post information about their pets, and update followers about their pets' activities (like Facebook for pets). It has a video display page like YouTube. One of the cool things is that when people post videos of their pets, they can easily link the videos to "channels" so others can find videos of animal antics that interest them (cute cats, animals playing instruments, dogs chasing tails, stuff like that – with keywords to make them easy to locate). They're looking for \$5 million to build out their infrastructure and staffing.

Let me know if you'd like to meet Aaron.

Sam Davis

E-mail 10: from college classmate

Hi Debbie,

One of my friends is the founder of a company called EndorseYou. I told her about you, and she asked for an intro. If you'd like to meet, let me know. The company is based in Australia, but the founder (Donna) is an American, and says she's willing to relocate if it would help the company in the long term. She'll be visiting San Francisco next month. If you'd like to meet, I can help set it up.

Here's the email company description she sent me:

Hi Don,

Here's some information about our company. I'd appreciate it if you could introduce me to potential investors that might be a good match. I'm coming to San Francisco next month, and would love to get together.

One thing that is very valuable for people is endorsements. You want references when applying for a job. If you're interested in joining a group, you want to know about the other people – and they want to know about you. There are ways for people to give references to companies (e.g. Yelp), but individuals and many organizations don't have ways to give and receive endorsements that would be helpful in their personal and professional activities. We founded EndorseYou to let people easily give and receive endorsements. We want to be the reference letter for the 21st Century.

The current staff is just three people (one of whom is part-time). We're looking for investors that have experience in building engaging social products, and who share our vision. If you can introduce me to people you think are good potential partners, I'd appreciate it.

Thanks,
Donna

Best,
Don

E-mail 11: from Incubator

Subject: Arivaspec

hey deb – i'm really high on this company. they organize events for groups of up to 15 people and sell individual "tickets." tried a bunch of things, but best so far were small dinners focused on specific topics. a great way for young professionals to meet, but with the potential to grow

into a lot more. founders are amazing – probably the most determined group we’ve funded. they’re raising money, and have a good termsheet. i told them not to take it yet, and keep talking to others that have showed interest. but they can’t put it off for very long, cause that wouldn’t be fair to the guys that have made the offer. if you’re interested, you should move fast.

lmk,
kate

E-mail 12: from Entrepreneur

Dear Ms. Edwards,

I would like to meet with you about making an investment in my company. As you know, there is an intense interest in gas prices, which have been fluctuating wildly in recent years. Existing sources of price data are incomplete, relying mostly on databases maintained based on prices reported by the general public. They are also not well designed to give up-to-date information in an easy to use way.

I’ve developed a mobile application that sends data on prices at local stations to user’s mobile devices. Users can view the results in different ways—they can be listed in order of price (cheapest first) within a user-specified radius, or you can get a listing of stations in order of distance from your location, with prices at each station.

We have piloted the app in Stockton. We chose Stockton for the pilot because it is reasonably-sized, and is relatively set apart from other towns (unlike Los Angeles or the Bay Area, where one city morphs into the next), and therefore a good test site. In addition to building the software, we have learned to collect up-to-date price information.

We are now looking for \$2 million to begin scaling up so that we can cover large metropolitan areas. The first area we would like to add is the Bay Area, which has a large population and also some of the highest gas prices. We will then roll out the app to Los Angeles and other large cities.

I hope this is something that is of interest to you, and look forward to talking with you,

Best Regards,
Sandy Rodgers

E-mail 13: from Entrepreneur

Subject: MyStory Introduction

Debbie-

I want to introduce you to MyStory. Since you're interested in digital media and programming, this opportunity should be a great match for Fastforward.

We've created an app that lets users write and share stories. We haven't taken outside money yet, but the thing is really taking off. We have received a bunch of awards from the app community, and have been listed as one of the top "hot apps" by a number of review sites.

There are tremendous opportunities to grow this network, but our long-term vision is to disrupt the publishing market. The potential is enormous. To achieve this, however, we need additional funding as well as the expertise and network that partnering with a firm such as Fastforward can bring.

We've put together a fabulous team, and would like to discuss this opportunity in more detail. I would love to meet with you, if you have the time and interest.

Many thanks,
Brian Wilson

E-mail 14: from Entrepreneur

Subject: Potential Meeting

Hello Ms. Edwards,

My name is Jamie McCarthy. I recently started a company, Apollo Energy Systems, that is developing a technology that enables batteries to store much more energy than conventional batteries, and to be recharged much more quickly. For instance, a Tesla Roadster currently requires 3.5 hours for a full recharge, and can go about 250-300 miles on a full charge. Using batteries with our technology, it could go at least 400 miles, and be fully charged in less than 2 hours. Batteries using this technology can be used for many applications, including computers and mobile devices.

The technology is based on research done at MIT, for which we have licensed patents. We've raised seed funding, which we have used to demonstrate the capability in laboratory experiments and begin product development. Having successfully completed our lab demonstrations, we're now raising \$10 million to commercialize the product.

We have small team, with four people dedicated to product development (one Ph.D. chemist, one Ph.D. physicist, a design engineer, and one technician). I am a former executive at Toyota,

having played a major role in the company's hybrid drive program. We are located in San Jose, and would appreciate the opportunity to meet with you to discuss a potential investment.

Thank you for your time,
Jamie McCarthy

E-mail 15: from Entrepreneur after Conference

To: Debbie Edwards
Subject: HearBaby Monitors

Hi Debbie,

I'm really glad you came by our booth at the conference yesterday. You asked me to send you a note about HearBaby. If you're interested in learning more, I'd love to talk, or we can meet in person.

We've developed a patented noise detection technology that lets parents monitor their babies in ways that have never been possible before. Parents can remotely monitor (both audibly and by video) whether their babies are crying, sleeping, or playing. They can receive alerts, based on parameters they input, such as a baby crying for a certain amount of time. They can compare their children to others. For instance, parents often are concerned that their babies aren't getting as much sleep as they should. Our system lets them compare their baby's sleeping patterns with that of other babies. From what the HearBaby system learns about a baby's behavior, we can recommend appropriate products or services.

The basic software can be downloaded for free, and used with standard computer or mobile device microphones and cameras. This lets parents do basic monitoring and generate statistics on their child. We have a subscription service that provides additional metrics, including comparisons. Subscribers also receive advice that is customized to their child's needs, as well as access to a wide range of resources.

The initial response has been overwhelming. Parents love it, and use it both inside the house and from their work.

I hope this piques your interest, and I look forward to hearing from you.

Best,
Anna Williams

E-mail 16: from Entrepreneur

Dear Ms. Edwards,

I was referred to your firm by Jim Corbin, the founder of Corbin Healthcare Solutions. You evaluated his company, but didn't end up making an investment. He was impressed by your firm, and recommended that I talk with you. I am the CEO of MarsHealth, a website that provides online content on men's health and wellness. We are currently raising our Series A round.

MarsHealth addresses an important need—and a huge market. It's difficult for men talk about health and wellness issues, and to get specific information on topics that concern them (such as diet, fitness, STDs, relationships, obesity, skin, or mental health), in a way they feel comfortable with. We provide anonymity, high quality information, easy access to experts, and a community of men with whom they can discuss their concerns.

We provide access to basic information for free. Subscribers may ask questions of experts, or participate in discussion forums with other members. Subscribers also have the opportunity to purchase expert services. Existing websites do a poor job of connecting providers with those in need of their services. MarsHealth has a highly targeted set of potential clients for service and product providers addressing concerns of young men.

We generate revenue from four basic sources: 1) premium subscriptions, 2) revenue sharing from service providers who sell on the site, or who book appointments on the site, 3) product sales, and 4) advertising on the site.

We currently have more than 1,000 users. We've developed a community of nearly 200 experts, from a wide range of leading universities and health organizations.

We believe this is a tremendous business opportunity, but that it is only the start. Our vision is to develop similar sites targeted to the needs of other demographic groups addressing health and related issues (such as obesity or diabetes).

We have a small staff, and are looking for funding to bring on more people, add infrastructure, and help accelerate our growth.

Please let me know if you are interested in meeting, and in learning more.

Best,
Alan Johnson
CEO, MarsHealth

E-mail 17: from Friend

Hey Deb - hope you're doing well – I've been meaning to give you a call, maybe get together for lunch someday soon.

A friend of mine has started a company and is looking for funding. He asked if I would tell you about the company. Here's the information he sent me (attached). I don't know if this is something you're interested in, but I think the guy is pretty bright, and he's extremely passionate about his company.

Best,
Derek

Attachment:

Analytic Solutions is the fastest correlations platform for big data analytics. It was built for applications in a wide range of industries and sectors. It has patent pending technology, a world class management team, and a global strategic partner.

- It is no secret that the greatest competitive advantage will go to those who can effectively manage the exponential growth of big data. Analytics is an exploding industry, with some estimates as high as \$150 billion by 2030. Current technology was not designed to handle the amount of data currently being produced, or the speed required to handle this data.
- Analytic Solutions turns data into knowledge by rapidly correlating a large number of variables. Existing techniques are not able to evaluate all correlations and develop meaningful knowledge within a useful timeframe – particularly if data is continually being added or updated. We can provide data in seconds that takes hours using conventional methods.

We are seeking \$1.5 million in seed funding to bring our initial product to market. We already have in place:

- Management and advisory team with strong skills, and experience in more than 25 startups
 - o Executive experience in Fortune 500 companies
 - o 2 Ph.D.s in computer science
- Patent pending technology
- At least 10 identified market sectors, with high growth and multi-billion annual spending, Solution that meets high priority needs of corporate decision-makers
- Demonstrated proof-of-concept in multiple real world applications

Our business model is based on monthly subscription fees of up to \$70,000. We anticipate annual revenues of \$40 million in year 5).

E-mail 18: from Fastforward Associate

I met with Jimsamed Platform Solutions for the first time today and I want to give you the background. The company already has a term sheet for an 8-10mm round and things are moving very fast.

Next Steps

We are planning to meet with the CEO again tomorrow in an effort to learn more and push out the timeline. He has already made two intros to customers but we want to push ahead on some diligence with others.

Background

Jimsamed makes it easy for developers to write applications across many all major mobile platforms. The company was founded in October 2010 and began beta testing in May of 2011. The company charges between \$500 and \$3,000 per user per platform with a free weekly trial. They did \$400k in March of 2012.

Jimsamed has an extremely talented technical team. They have created the best cross-platform development solution out there. They also have a solution that requires no new knowledge for Microsoft developers in order to create apps for iOS and Android – a market of eight million developers.

Team

Jimsamed was founded by Jim Donaldson, Sam Alvarez and Ed Miller. Jim is a Cal Tech alum who has founded and sold several successful companies. Sam is an amazing, and widely recognized, technical talent, having created some of the most important elements of some critical, heavily used, software. He's also won a number of prestigious awards, including the Silver Atom award for recognition among developers in the Seattle community. Finally, Ed, a graduate of MIT, also has a great reputation, with lots of relevant experience in big data, including several academic papers.

E-mail 19: From Entrepreneur

Dear Debbie,

We met at the social media conference in Dallas last June, and briefly discussed my company, Evans Education. At the time, we were in early development using our own funds, but we've reached the point where we need to raise money in order to realize the tremendous potential that this company can achieve.

We've developed an app that turns an iPad into a whiteboard that records action and voice, so an educator can post lessons online. Over the last year, we've been used in thousands of classrooms, and have had more than 75,000 downloads.

The app can be used to create lessons that can be posted for anyone to view, or lessons can be restricted to only those registered for a specific class. For instance, a teacher can post a lesson for students to view as homework, then work directly with them in class the next day to ensure that students fully understand the material. Students can also post comments and questions as they go over the lesson, allowing discussion with other students and with the instructor.

We have done all of this with just two people so far – one of whom is a part-time contractor. I believe that the time is right to raise the money to expand our team and realize the full potential of what we have developed.

We'd love to discuss partnering with Fastforward.

Best,
Joyce Evans
Evans Education